

Technical Characteristics of Privileged Senior Securities

IN THE PRECEDING chapter privileged senior issues were considered in their relationship to the broader principles of investment and speculation. To arrive at an adequate knowledge of this group of securities from their practical side, a more intensive discussion of their characteristics is now in order. Such a study may conveniently be carried on from three successive viewpoints: (1) considerations common to all three types of privilege—conversion, participation, and subscription (*i.e.*, “warrant”); (2) the relative merits of each type, as compared with the others; (3) technical aspects of each type, considered by itself.¹

CONSIDERATIONS GENERALLY APPLICABLE TO PRIVILEGED ISSUES

The attractiveness of a profit-sharing feature depends upon two major but entirely unrelated factors: (1) the *terms* of the arrangement and (2) the *prospects* of profits to share. To use a simple illustration:

Company A	Company B
4% bond selling at 100	4% bond selling at 100
Convertible into stock at 50 (<i>i.e.</i> , two shares of stock for a \$100 bond)	Convertible into stock at $33\frac{1}{3}$ (<i>i.e.</i> , three shares of stock for a \$100 bond)
Stock selling at 30	Stock selling at 30

¹ This subject is treated at what may appear to be disproportionate length because of the growing importance of privileged issues and the absence of thoroughgoing discussion thereof in the standard descriptive textbooks.